SUN PHARMACEUTICAL INDUSTRIES LTD

NSE: SUNPHARMA · BSE: 524715 · Pharmaceuticals & Biotechnology · Equity Research · India · 26 September 2026 · ₹ crore unless stated · FY ends 31 March

RATING	12-MONTH TARGET PRICE	REFERENCE PRICE
HOLD	**₹1,817**	**₹1,849.90**
-	*-1.8% vs reference price*	*screener.in quote, peer-comp pull date*

Franchise strength is not in question; the model's own DCF is. Base-case value sits at fair value while peer multiples and Street consensus both point higher - HOLD, with upside risk to the call.

Investment summary

- Franchise: India's largest pharma company by revenue and #1 by India market share (8.4-8.5%, Pharmarack MAT Jun-2026); FY26 revenue ₹58,462cr (+11.2% YoY), EBITDA margin expanded to 30.0% (FY25: 28.3%), net cash + investments of ₹31,698cr against ₹4,627cr of debt and leases.
- Innovative Medicines scaling: global Innovative Medicine sales crossed US$1,420mn in FY26 (+16.8%), now 22% of consolidated sales; US Innovative Medicines crossed US$1bn for the first time in FY26, now larger than the US generics business.
- Q1 FY27 mixed: India formulations +16% YoY (36.1% of sales) and margin at the top end of trend, but US sales -9.7% YoY (Lenalidomide erosion + generic competition) and effective tax rate up to 27.8% (vs 24.3% PY) as India tax benefits normalise.
- Organon acquisition (EV ~US$11.75bn; shareholder approval received; expected close Q4 FY27) is a real near-term catalyst but is EXCLUDED from this report's Base/Bull/Bear cases, consistent with standard sell-side practice for unclosed transactions.
- Valuation: the model's Base DCF (₹1,817, WACC 8.88%) sits almost exactly at the current price, but a static EV/EBITDA peer-median cross-check (~₹2,067) and Street consensus (₹1,996-2,055 average) both point 8-12% higher - we rate HOLD with upside skew, not a firm sell signal.

Key data

Item	Value
Reference price	₹1,849.90
Market cap at reference price	₹443,791 cr
Shares outstanding	239.9 cr (2,399 Mn)
52-week range (sources differ - see Appendix B)	₹1,548 - ₹1,963 to 2,047
FY26 Revenue (consolidated)	₹58,462 cr
FY26 EBITDA (margin)	₹17,700 cr (30.0%)
FY26 PAT (attributable to owners)	₹11,479 cr
FY26 EPS - Basic	₹47.8
FY26 ROE (Return on Net Worth)	13.7%
Net cash + investments less debt/leases, FY26	₹31,698 cr
P/E at reference price (FY26 EPS)	38.7x

Source: Sun Pharma Annual Report FY25-26; screener.in Peer Comparison screenshot (reference price, pull date not independently verifiable); 52-week range per Investing.com (₹1,548-1,962.70) vs INDmoney-implied (₹1,548-2,046.8, from -8.4%/+21.1% off a 21-Sep-2026 quote of ₹1,874.90) - not reconciled, shown as sourced.

Q1 FY27 snapshot (quarter to 30-Jun-2026, reported 6-Aug-2026)

₹ crore	Q1 FY27	Q1 FY26	YoY
Revenue	15,183.6	13,792.0*	+10.1%
Gross margin	80.5%	n/a	n/a
EBITDA	4,417.7	4,301.6*	+2.7%
EBITDA margin	28.9%	~31.2%*	n/a
Reported PAT	2,894.8	n/a	n/a
Adjusted PAT	3,089.4	n/a	n/a
EPS	₹12.10	n/a	n/a
Effective tax rate	27.8%	24.3%	+350bps
R&D spend (% of sales)	₹826.4cr (5.4%)	n/a	n/a
India formulations revenue	5,474.9 (36.1% of sales)	n/a	+16%
US sales (US$mn)	427	473*	-9.7%
Innovative Medicine sales (US$mn)	351 (21.9% of sales)	311*	+12.8%
Net cash, consolidated	US$3.4bn	n/a	n/a

** Implied from reported growth rates where the transcript did not state the prior-year absolute figure directly. Source: Sun Pharma Q1 FY27 Earnings Call Transcript, 31-Jul-2026 (filed with NSE/BSE 6-Aug-2026).*

1 INVESTMENT THESIS & CATALYSTS

Bottom line.

Sun Pharma is a scaled, profitable, net-cash pharmaceutical franchise with a genuinely improving mix (Innovative Medicines now 22% of sales and growing faster than the base business) and clear India market leadership. None of that is really in dispute. What is in dispute is valuation: the model's own five-year DCF lands almost exactly on the current price (₹1,817 vs ₹1,849.90, -1.8%), while both a static peer-multiple cross-check and Street consensus sit 8-12% higher. We rate the stock HOLD on the DCF, but flag that the balance of cross-checks skews the risk to the upside rather than the downside - the mirror image of how the Castrol sample report's DCF sat below its own Street range.

Five pillars of the thesis

- A scaled, improving-mix franchise. FY26 revenue ₹58,462cr (+11.2%), EBITDA margin 30.0% (+170bps YoY), R&D spend ₹3,554cr (6.1% of sales). Innovative Medicines - the highest-margin, fastest-growing piece - rose to 22% of consolidated sales, and US Innovative Medicines crossed US$1bn for the first time in FY26, now bigger than US generics in that market.
- India: undisputed #1, still taking share. India formulations revenue ₹19,290cr (+14% FY26; +16% in Q1 FY27), 33-36% of sales depending on the period. Sun Pharma ranks #1 with 8.4-8.5% of the ~₹2,527bn Indian pharmaceutical market (Pharmarack MAT Jun-2026), up from 8.2% a year earlier, and is #1 by prescription across 11-12 doctor categories (SMSRC).
- US: the swing factor. US sales fell 9.7% YoY in Q1 FY27 on Lenalidomide erosion and added generic competition, even as newer specialty launches (LEQSELVI, UNLOXCYT) continue to build formulary access. Management does not guide product-wise, but flagged Levulan seasonality and normalising launch-support spend as ongoing base-spend items rather than one-offs - a real margin swing factor for FY27E that the Base case may understate (see Section 3).
- Organon: a real catalyst, deliberately excluded from the numbers. The company confirmed on the Q1 FY27 call that Organon shareholders have approved the transaction (EV ~US$11.75bn) and that it remains on track to close in Q4 FY27, with an integration management office already active. Because it has not closed, it is excluded from every scenario in this report - consistent with standard sell-side practice, and consistent with how this franchise was modelled previously.
- Valuation: DCF at fair value, cross-checks say otherwise. The Base DCF (₹1,817, WACC 8.88%) is built on a peer-median exit multiple of 26.23x EBITDA blended with a 5% Gordon-growth leg. A static, no-growth EV/EBITDA cross-check on FY26 actual EBITDA (same 26.23x multiple) alone gives ~₹2,067; Street consensus averages ₹1,996-2,055. The DCF is conservative primarily because five years of compounding at a below-run-rate Base growth assumption (8.1%→6.0% tapering) dilutes the effect of today's already-high peer multiple.

Why HOLD, and how much to trust it

Method	Value (₹)	vs ₹1,849.90	Comment
Model DCF, Base case	**1,817**	-1.8%	WACC 8.88%; TV = avg of 26.23x exit EBITDA multiple (peer median) and 5% Gordon growth
DCF, Bear case	1,488	-19.6%	Same WACC/terminal assumptions; only growth (5%→4%) and margin (29%→27%) differ
DCF, Bull case	2,162	+16.9%	Growth 12%→8%, margin 30.5%→32%
EV/EBITDA peer-median, static (FY26 actual EBITDA)	2,067	+11.8%	No growth assumption - FY26 EBITDA × peer median 26.23x, net of debt/cash
P/E, 'value peer' range 25-35x FY26 EPS	1,195 - 1,673	-35% to -10%	Cipla/Dr Reddy's/Zydus/Torrent trade in this range - closer comparables to Sun's generics-heavy earnings mix
P/E, peer median 50.0x FY26 EPS	2,390	+29.2%	Skewed high by Divi's (87x) and Laurus (100x) - low weight, both are smaller specialty names
Street consensus (Investing.com, 34 analysts)	2,055 (1,650-2,366)	+11.1%	Consensus rating Buy (30 Buy / 3 Sell / 1 Hold)
Street consensus (TradingView)	1,996 (1,650-2,528)	+7.9%	Forecast page aggregation; snapshot date not stated
Recent individual broker actions	Nomura ₹1,960 (Buy); Jefferies ₹2,000 (Buy); Avendus Spark ₹1,900 (Buy)	+2.7% to +8.1%	Dates approximate - see Appendix B, Things we could not verify

Source: this report's DCF (Section 7); Peer_Comps workbook sheet; Investing.com and TradingView forecast pages; marketscreener.com broker-action log (dates not independently confirmed).

Thesis scorecard

Factor	Evidence	View
Returns and cash generation	ROE 13.7% (FY25: 15.1%), net cash + investments ₹31,698cr, EBITDA margin 30.0% (+170bps)	Positive, though ROE dilution from equity growth is worth watching
Growth momentum	FY26 revenue +11.2%; India +14% (Q1 FY27: +16%); Innovative Medicines +16.8% (US crossed $1bn)	Positive, but US generics is a genuine drag
Earnings quality	Q1 FY27 EBITDA margin 28.9%, below FY26 full-year 30.0%; ETR rose to 27.8% as India tax benefits normalise	Mixed - margin and tax-rate normalisation are real headwinds not fully captured pre-tax
Capital returns	FY26 dividend ₹16/share (interim ₹11 + final ₹5); payout modest relative to net-cash balance sheet	Room for more, not yet a catalyst
Valuation	DCF at fair value; peer EV/EBITDA and Street both point 8-12% higher	Balance of evidence points to upside risk on the HOLD call

Catalysts and what to watch

Timing	Catalyst	Why it matters
By Q4 FY27	Organon acquisition completion (EV ~US$11.75bn)	Not in the base case - a clean close changes the growth and mix story materially
Quarterly	US generics trajectory (Lenalidomide base, new launches)	Directly tests the Bear case's more conservative US assumption
Quarterly	Innovative Medicines mix shift (LEQSELVI, UNLOXCYT formulary access)	Tests whether the margin can hold at the Base case's flat 30.0%
FY27 guidance cadence	Effective tax rate trajectory (27.8% in Q1 FY27 vs 24.3% PY)	A genuine headwind to net income not visible in the pre-tax EV/EBITDA cross-checks
Rolling	India market share (currently 8.4-8.5%, #1 rank) and semaglutide ramp	Direct support for the Base/Bull growth assumptions

2 COMPANY OVERVIEW & SEGMENTS

Sun Pharmaceutical Industries Limited is India's largest pharmaceutical company and among the largest specialty generics companies globally, spanning branded generics, pure generics, specialty/Innovative Medicines and active pharmaceutical ingredients (API). It is listed on the NSE (SUNPHARMA) and BSE (524715), headquartered in Mumbai. Leadership per the Q1 FY27 and Q4 FY26 earnings calls: Dilip Shanghvi (Chairman), Kirti Ganorkar (Managing Director), Aalok Shanghvi (Chief Operating Officer), Jayashree Satagopan (Chief Financial Officer), Richard Ascroft (CEO, North America).

FY26 business-wise revenue

Business	Revenue (₹cr)	% of total	YoY growth
India Business	19,290	33%	+14.0%
US Business	16,824	29%	+3.6%
Emerging Markets	11,187	19%	+18.8%
Rest of World (RoW)	8,568	15%	+19.6%
API & Others (derived, balancing figure)	2,593	4%	n/a

Source: Sun Pharma Annual Report FY25-26, Business-wise Review (p.34-40) and Key Performance Indicators (p.32). API & Others derived as the balancing figure against total FY26 revenue - not separately disclosed.

Businesses

Business	What it does	Latest datapoint
Global Innovative Medicines	Specialty/branded products across dermatology, oncology, ophthalmology and immunology, sold in the US and ex-US	FY26 sales US$1,420mn (+16.8%); 22% of consolidated FY26 sales; US crossed US$1bn for the first time
India formulations	Branded generics sold through ~a national field force; therapy areas spanning chronic and acute segments	#1 rank, 8.4-8.5% market share (Pharmarack MAT Jun-2026); #1 by prescription in 11-12 doctor categories (SMSRC)
US generics	Generic formulations sold in the US, competing on price and supply reliability	Q1 FY27 sales US$427mn (-9.7% YoY) on Lenalidomide erosion and added competition
Emerging Markets & RoW	Branded generics across ~100+ countries outside the US, India and core specialty markets	Emerging Markets +18.8% FY26; RoW +19.6% FY26 (Q1 FY27 RoW growth moderated, partly attributed in press commentary to Middle East conflict disruption)
Semaglutide (GLP-1)	Generic semaglutide injectable, including an auto-injector/pen format, launched in India (Mar-2026) with South Africa and Brazil approvals following	#2 generic semaglutide injectable player in India as of Q1 FY27; only Indian company offering an auto-injector format

Source: AR FY25-26 (p.34-40); Sun Pharma Q1 FY27 and Q4 FY26 Earnings Call Transcripts.

Corporate actions that change the story

- Organon acquisition. Enterprise value ~US$11.75bn. Organon shareholders have approved the transaction (confirmed on the Q1 FY27 call); regulatory filings are in progress across markets and approvals have been received in certain jurisdictions. Management guides to closing in Q4 FY27, with an integration management office already working on day-one preparedness. EXCLUDED from all scenarios in this report.
- R&D investment. Consolidated R&D spend was ₹3,554cr in FY26 (6.1% of sales), up from ₹3,248cr in FY25. Q1 FY27 R&D was ₹826.4cr (5.4% of sales); management guides FY27 R&D to 6-7% of sales, with innovative R&D as a rising share of the total.
- Dividends. FY26 total dividend ₹16/share (₹11 interim + ₹5 final), consistent with a net-cash balance sheet (₹31,698cr net of debt/leases) that could support a higher payout without straining the balance sheet.

3 LATEST QUARTER UPDATE & WHAT IT MEANS FOR THE MODEL

Sun Pharma reported Q1 FY27 (quarter to 30-Jun-2026) on 6-Aug-2026: revenue of ₹15,183.6cr (+10.1% YoY), EBITDA of ₹4,417.7cr (+2.7% YoY, margin 28.9% vs an implied ~31.2% in Q1 FY26), and adjusted PAT of ₹3,089.4cr (EPS ₹12.10). Management flagged Levulan seasonality in the US, Lenalidomide-driven generics erosion, and a step-up in the effective tax rate (27.8% vs 24.3% PY) as India's earlier tax benefits normalise.

Guidance and what it means for the model

Item	Company guidance / latest actual	Model (Base)	Read
Revenue growth FY27	'High single-digit' consolidated top-line growth (Q4 FY26 call)	+8.1% FY27E, tapering to +6.0% by FY31E	Consistent with guidance at the front end
EBITDA margin	No explicit FY27 guide; Q1 FY27 actual 28.9%, below FY26 full-year 30.0%	Held flat at 30.0% every year	Base case may be modestly optimistic if Q1's softer margin persists through FY27
R&D spend	Guided 6-7% of sales for FY27 (Q4 FY26 call)	Embedded within the EBITDA margin assumption, not modelled as a separate deduction	Consistent directionally, not separately verified
Effective tax rate	27.8% in Q1 FY27 vs 24.3% in Q1 FY26; management expects this range to persist until Organon closes	22% (FY26 core tax rate ex-exceptional, rounded up)	Model may understate the tax drag if the elevated Q1 FY27 rate persists all year
US business	-9.7% YoY in Q1 FY27 on Lenalidomide erosion + competition; management does not guide product-wise	Embedded in the consolidated growth assumption, not modelled by geography	A key swing factor the model does not isolate - see Risks, Section 8

Source: Sun Pharma Q1 FY27 and Q4 FY26 Earnings Call Transcripts; this report's Model sheet (Assumptions tab).

What we take from Q1 FY27

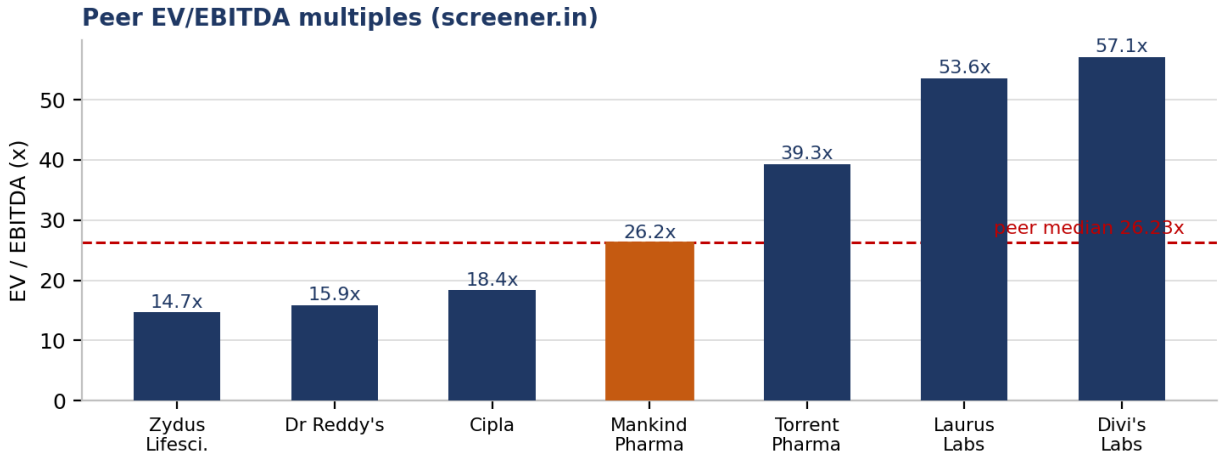
- India momentum is the clearest positive: +16% YoY, 36.1% of sales, and continued #1 market-share gains - directly supports the Base and Bull growth cases.
- US generics weakness is real and product-specific (Lenalidomide, competition) rather than a broad-based miss - but it is exactly the kind of single-geography drag the model's consolidated, non-segmented growth assumption cannot isolate. Investors modelling the US book separately should expect more volatility than the Base case shows.
- The margin gap (Q1 FY27 28.9% vs the model's flat 30.0% Base assumption) is modest but worth monitoring each quarter - a full-year run-rate below 30% would pull the Base DCF toward the Bear case.
- The tax-rate step-up (24.3%→27.8%) is a genuine headwind to net income that does not show up at all in the EV/EBITDA-based cross-checks in Section 1 - worth weighting those cross-checks down slightly relative to the DCF for that reason.

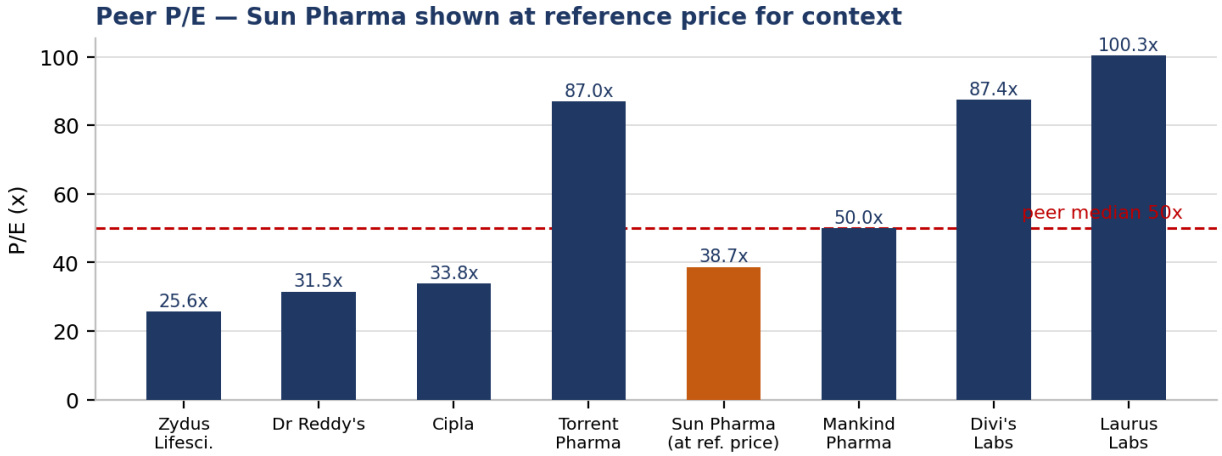
4 INDUSTRY BACKDROP & PEER SNAPSHOT

Peer snapshot

Company	CMP (₹)	Mkt Cap (₹cr)	EV/EBITDA (x)	P/E (x) [calc]	Beta (5Y Mo)
Sun Pharma (at reference price)	1,849.90	443,791	n/m - see flag below	38.7x (on FY26 EPS)	0.26 (re-levered)
Divi's Laboratories	9,602.00	255,627	57.08x	87.40x	0.25
Torrent Pharmaceuticals	4,928.50	187,653	39.34x	87.03x	0.14
Zydus Lifesciences	1,180.30	117,796	14.68x	25.65x	0.37
Cipla	1,399.00	113,265	18.36x	33.76x	0.08
Laurus Labs	2,026.20	109,435	53.57x	100.35x	0.36
Mankind Pharma	2,500.00	103,366	26.23x	50.00x	0.45
Dr Reddy's Laboratories	1,200.40	100,286	15.92x	31.50x	0.24
Peer median (7 names)			**26.23x**	**50.00x**	**0.25**

Source: screener.in Peer Comparison, Healthcare > Pharmaceuticals & Biotechnology (user-supplied screenshot); Yahoo Finance for individual peer betas (5Y Monthly, user-supplied screenshots). P/E computed as Market Cap ÷ 12-month Net Profit and cross-checked against Yahoo Finance TTM P/E - matched within rounding for all 7 peers.





Data-quality flag.

The screener.in table's own row for Sun Pharma (Sales ₹20,900.89cr, NP ₹2,993.50cr) is inconsistent with the audited FY26 Annual Report (Revenue ₹58,462cr, PAT ₹11,479cr) and implies a P/E near 148x - versus the ~38.7x that the reference price and reported EPS actually give. This report therefore uses AR figures for Sun Pharma's own financials throughout and uses the screener table only for the 6 peer companies (Sun Pharma's own screener row is not used anywhere in this report or the underlying model).

Industry backdrop

Driver	Evidence	Relevance for Sun Pharma
US generics pricing & competition	Q1 FY27 US sales -9.7% YoY on Lenalidomide erosion and added competition in select products; management flags this as ongoing, not one-off	Direct drag on the US segment; the primary driver behind this report's Bear-case revenue and margin assumptions
Specialty/Innovative Medicines scaling	LEQSELVI and UNLOXCYT both building formulary access in the US; Innovative Medicines crossed US$1bn in the US for the first time in FY26	Supports Base/Bull case margin mix-shift; the segment carries materially higher margins than generics
India market growth & share gains	Sun Pharma #1 with 8.4-8.5% share of a ~₹2,527bn market, growing volume ahead of the broader Indian Pharma Market (IPM)	Direct support for the Base/Bull revenue growth assumptions
GLP-1/semaglutide opportunity	India launch Mar-2026 (auto-injector format); South Africa and Brazil approvals following; management flags a 5-6 month lag before secondary sales data fully reflects the ramp	Emerging growth driver not yet material to FY26 actuals; upside optionality to the Base case
Peer valuation dispersion	EV/EBITDA across the 7-peer set ranges from 14.7x (Zydus) to 57.1x (Divi's); P/E from 25.7x (Zydus) to 100.4x (Laurus)	Explains why this report's exit-multiple and P/E cross-checks produce such a wide valuation range - see Section 1

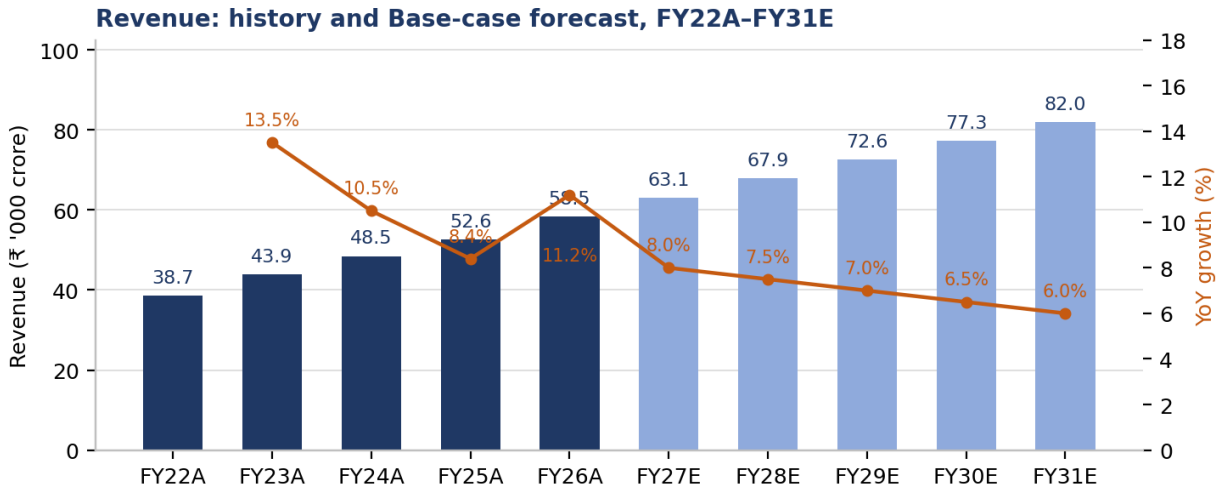
Source: Sun Pharma Q1 FY27 & Q4 FY26 Earnings Call Transcripts; screener.in Peer Comparison; AR FY25-26.

5 HISTORICAL FINANCIAL ANALYSIS

Five-year summary (consolidated, ₹ crore)

₹ crore	FY22	FY23	FY24	FY25	FY26
Revenue from operations	38,655	43,886	48,497	52,578	58,462
growth	n/a	+13.5%	+10.5%	+8.4%	+11.2%
Net profit (attributable to owners)	3,273	8,474	9,576	10,929	11,479
EPS - Basic (₹)	13.6	35.3	39.9	45.6	47.8
R&D expenditure	2,219	2,368	3,178	3,248	3,554
R&D as % of sales	5.7%	5.4%	6.6%	6.2%	6.1%

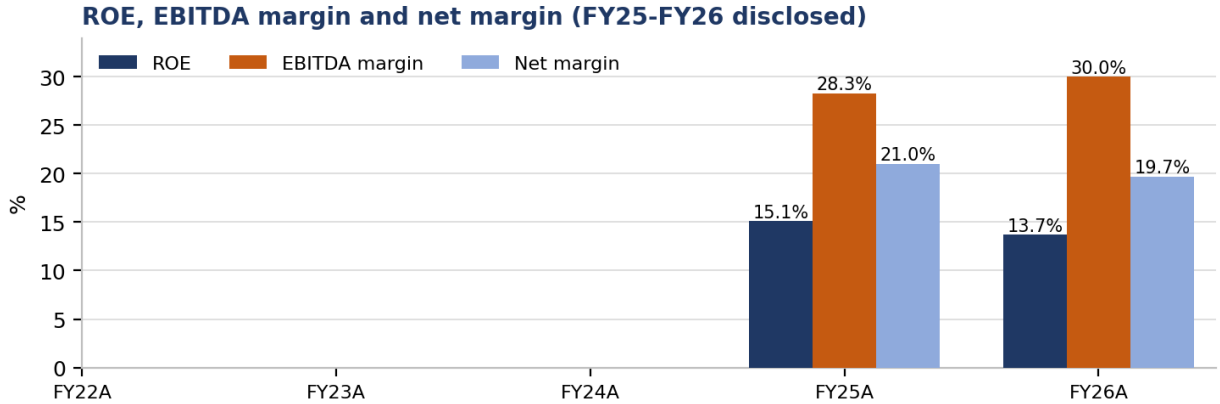
Source: Sun Pharma Annual Report FY25-26, Ten-Year Financial Highlights (p.05). ₹ Million converted to ₹ crore (÷10).



EBITDA & margins (as reported)

	FY25	FY26
EBITDA (₹cr, KPI page basis)	15,300	17,700
EBITDA margin	28.3%	30.0%
Net profit margin (consolidated)	21.0%	19.7%
Return on Net Worth (ROE)	15.1%	13.7%
Debt / Equity (x)	0.03x	0.06x

Source: AR FY25-26 Key Performance Indicators (p.32) and Financial Ratios table (p.33).



Growth and margins.

- Growth has been consistently double-digit or high-single-digit over the last five years (8.4-13.5% YoY), with FY26's 11.2% the strongest since FY23, driven by India (+14%) and Emerging Markets/RoW (+18.8%/+19.6%).
- EBITDA margin expanded 170bps YoY in FY26 (28.3%→30.0%) on the back of a richer Innovative Medicines mix, even as US generics revenue softened - a genuinely positive mix-shift story, though Q1 FY27's 28.9% margin suggests the FY26 exit rate may not be fully sustained (see Section 3).
- Net margin actually compressed slightly (21.0%→19.7%) despite the EBITDA margin expansion - consistent with a rising effective tax rate and exceptional items (₹1,307cr in FY26 vs ₹678cr in FY25) eating into the EBITDA-level improvement.
- ROE declined from 15.1% to 13.7% as the equity base grew faster than net profit - not a red flag on its own (Sun Pharma remains a net-cash business reinvesting rather than leveraging up), but worth noting relative to peers that carry higher leverage and correspondingly different ROE profiles.

Consolidated Statement of Profit & Loss

₹ crore	FY25	FY26
Revenue from operations	52,578.4	58,462.0
Other income	1,965.0	1,971.7
Total income	54,543.5	60,433.8
Cost of materials consumed	6,449.1	7,389.0
Purchases of stock-in-trade	4,148.0	3,811.5
Changes in inventories	150.3	343.1
Employee benefits expense	9,973.1	11,418.9
Finance costs	231.4	338.9
Depreciation & amortisation	2,575.4	2,937.9
Other expenses	16,771.8	19,008.3
Net (gain)/loss on FX transactions	(185.5)	(1,240.2)
Total expenses	40,113.5	44,007.4
Profit before exceptional items and tax	14,430.0	16,426.4
Exceptional items	677.9	1,307.5
Profit before tax	13,752.1	15,118.9
Total tax expense	2,772.0	3,554.4
Profit before NCI & associates	10,980.1	11,564.5
Non-controlling interests	35.7	29.2
Profit attributable to owners (PAT)	**10,929.0**	**11,479.4**

Source: Consolidated Statement of Profit & Loss, AR FY25-26 (p.240). ₹ Million converted to ₹ crore (÷10).

Consolidated Balance Sheet snapshot (as at 31 March)

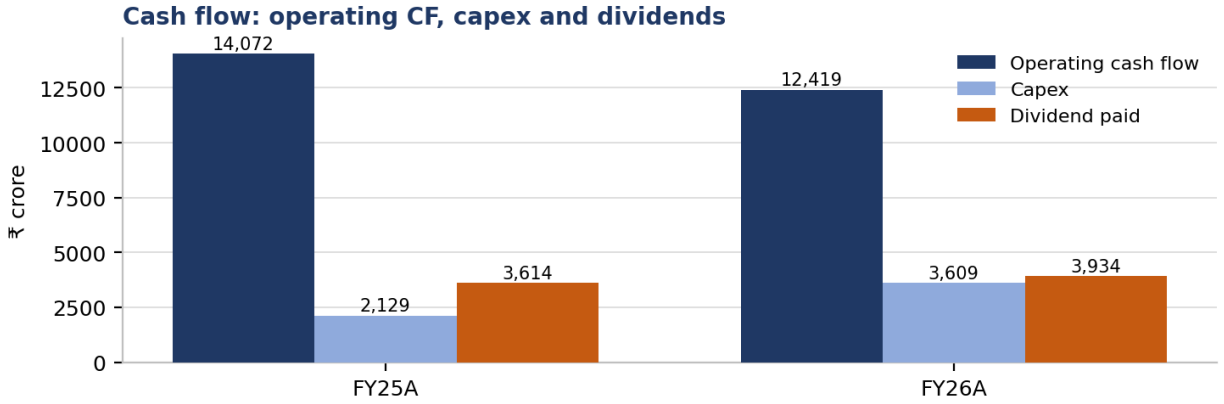
₹ crore	FY25	FY26
Cash and cash equivalents	10,268.8	9,770.5
Other bank balances	1,062.9	1,832.6
Current investments	13,656.1	20,933.5
Non-current investments	4,697.7	3,789.1
Inventories	10,243.3	11,492.9
Trade receivables	13,046.1	15,509.7
Trade payables	6,184.3	7,333.8
Borrowings (non-current)	2.5	31.3
Borrowings (current)	1,867.1	4,050.4
Lease liabilities (NC + current)	492.2	545.7
Total equity (incl. NCI)	72,486.0	83,879.7
Total assets	92,100.6	108,785.2

Source: Consolidated Balance Sheet, AR FY25-26 (p.238-239).

Consolidated Cash Flow snapshot

₹ crore	FY25	FY26
Net cash from operating activities	14,072.1	12,419.2
Capex (PP&E + intangibles, incl. CWIP)	2,128.6	3,609.4
Dividend paid	3,614.0	3,933.9

Source: Consolidated Statement of Cash Flow, AR FY25-26 (p.243). Note the FY26 decline in operating cash flow despite higher PAT reflects working-capital build (inventories and receivables both grew faster than payables) and elevated exceptional-item cash outflows - worth monitoring, not yet a red flag given the strong net-cash position.



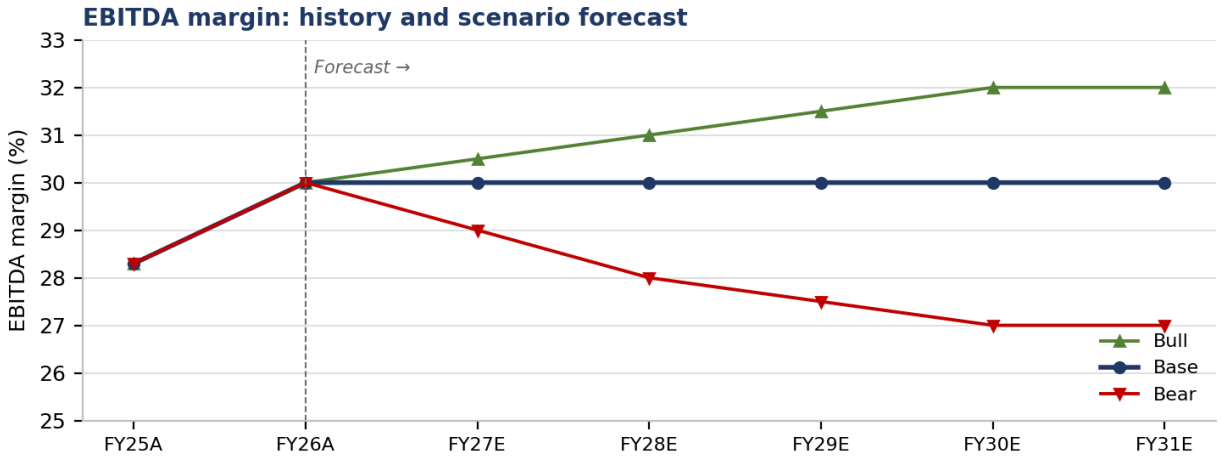
6 FORECASTS & SCENARIOS

The model forecasts FY27E-FY31E by driving revenue with a scenario growth rate, holding EBITDA margin, D&A and capex as a percentage of revenue, and estimating working-capital investment as a percentage of incremental revenue. Organon is excluded from all three scenarios. Full assumption sourcing is in the workbook's Assumptions tab; the table below summarises the basis for each driver.

Model assumptions

Driver	FY27E	FY28E	FY29E	FY30E	FY31E	Basis
Revenue growth - Base	8.0%	7.5%	7.0%	6.5%	6.0%	Guided 'high single-digit' FY27 growth (Q4 FY26 call), tapering
Revenue growth - Bull	12.0%	11.0%	10.0%	9.0%	8.0%	Approaches FY23's 13.5% historical growth, tapering
Revenue growth - Bear	5.0%	4.5%	4.0%	4.0%	4.0%	Reflects US pricing pressure, tariff and regulatory risk (AR SWOT)
EBITDA margin - Base	30.0%	30.0%	30.0%	30.0%	30.0%	Held flat at FY26 actual
EBITDA margin - Bull	30.5%	31.0%	31.5%	32.0%	32.0%	Continued mix-shift to Innovative Medicines
EBITDA margin - Bear	29.0%	28.0%	27.5%	27.0%	27.0%	US pricing pressure + Organon integration cost bleed
D&A / revenue (all scenarios)	5.0%	5.0%	5.0%	5.0%	5.0%	FY26 actual (5.03%)
Capex / revenue - Base	5.0%	5.0%	5.0%	5.0%	5.0%	Between FY25 (4.05%) and FY26 (6.17%, elevated)
Tax rate (all scenarios)	22.0%	22.0%	22.0%	22.0%	22.0%	FY26 core tax rate (21.6%), rounded up
Δ Working capital / ΔRevenue	4.4%	4.4%	4.4%	4.4%	4.4%	FY26 (inventories+receivables−payables) increase ÷ revenue growth

Source: Assumptions tab of the accompanying workbook; basis column cites the specific AR page, earnings call, or historical ratio underlying each figure.

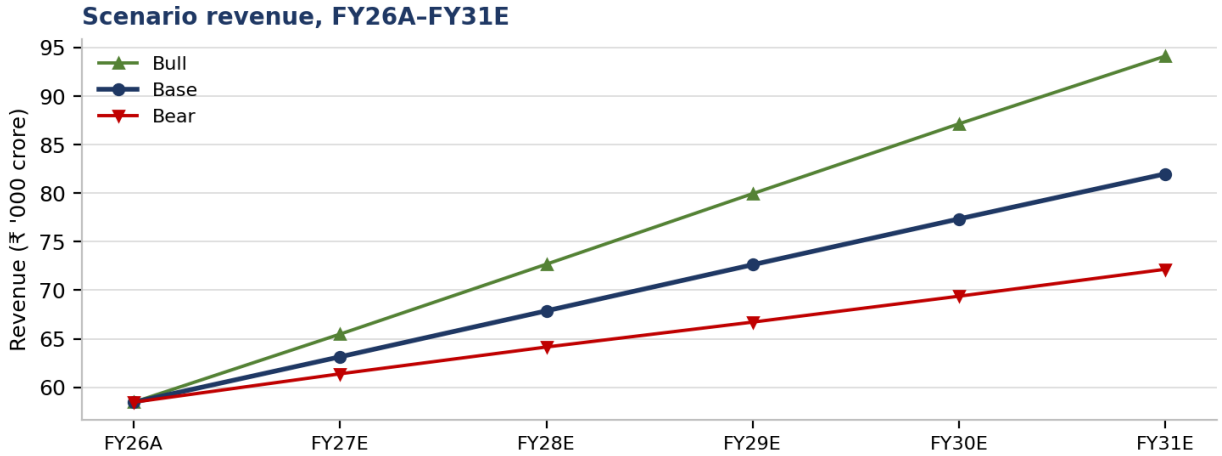


Forecast summary - Base case (₹ crore)

₹ crore	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Revenue	58,462	63,139	67,874	72,626	77,346	81,987
growth	+11.2%	+8.0%	+7.5%	+7.0%	+6.5%	+6.0%
EBITDA	17,700	18,942	20,362	21,788	23,204	24,596
margin	30.0%	30.0%	30.0%	30.0%	30.0%	30.0%
EBIT	n/a*	15,785	16,969	18,156	19,337	20,497
NOPAT (unlevered PAT proxy)**	n/a*	12,312	13,236	14,162	15,083	15,988
FCFF	n/a*	12,106	13,027	13,953	14,875	15,783

** FY26A EBIT/NOPAT/FCFF are not shown because the forecast model's simplified D&A/tax treatment is not applied retrospectively to the actual FY26 P&L (see the detailed Section 5 P&L for the true FY26 figures). ** The model's 'NOPAT' line is EBIT less tax on EBIT - an unlevered proxy used to build FCFF for the DCF. It excludes net interest income/expense, exceptional items and minority interest, and should NOT be read as a forecast of reported EPS or net income.*

Scenario summary (FY31E)



₹ crore	Bear	Base	Bull
Revenue CY31E	72,157	81,987	94,115
Revenue CAGR FY26-31E	4.3%	7.0%	10.0%
EBITDA FY31E	19,482	24,596	30,117
EBITDA margin FY31E	27.0%	30.0%	32.0%
NOPAT (proxy) FY31E	12,382	15,988	19,821
FCFF FY31E	12,621	15,783	19,043

7 VALUATION

We value Sun Pharma with a five-year FCFF DCF (FY27E-FY31E) built in the accompanying workbook, and cross-check it against a static EV/EBITDA multiple, a P/E range, and Street consensus (Section 1). The DCF is the source of the target price; the cross-checks tell us how far to trust it.

WACC build

Component	Value	Basis
Risk-free rate	7.10%	India 10Y G-Sec, ~7.1% as of 15-Sep-2026 (TradingEconomics)
Equity risk premium (ERP)	6.85%	Same convention as the Castrol sample workbook (Nifty 50 long-run CAGR less risk-free) - flagged as an assumption to revisit, not independently re-derived here
Peer median unlevered beta	0.2500	Median of 7 peers, each unlevered using its own D/E (screener.in) and a 25.17% tax rate
Sun Pharma D/E (FY26)	0.0552x	(Borrowings + lease liabilities) ÷ total equity, from the AR Balance Sheet
Re-levered beta	0.2603	Peer unlevered beta re-levered to Sun Pharma's own (very low) leverage
Cost of equity	8.88%	Risk-free + re-levered beta × ERP
Pre-tax cost of debt	11.39%	FY26 finance cost ÷ average FY25/FY26 borrowings
Post-tax cost of debt	8.52%	Pre-tax cost of debt × (1 − 25.17%)
Market value of equity (E)	₹443,791cr	Reference price × shares outstanding
Market value of debt (D)	₹4,627cr	FY26 borrowings + lease liabilities
WACC	**8.88%**	E/(D+E) × cost of equity + D/(D+E) × post-tax cost of debt

A note on why WACC is low.

An 8.88% WACC is genuinely low by global standards, but it is not a modelling error - it follows directly from two real, sourced inputs: Indian pharma majors carry unusually low observed betas (the 7-peer median is 0.25, reflecting the sector's defensive, steady-earnings profile), and Sun Pharma itself carries almost no leverage (D/E 0.055x). Both facts push cost of equity, and therefore WACC, down. A higher WACC sensitivity is shown below.

Free cash flow to firm - Base case

₹ crore	FY27E	FY28E	FY29E	FY30E	FY31E
FCFF	12,106	13,027	13,953	14,875	15,783
Discount period (years)	1	2	3	4	5
Discount factor @ 8.88%	0.919	0.844	0.775	0.712	0.654
PV of FCFF	11,119	11,000	10,814	10,589	10,318

Sum of PV of FCFF (FY27E-FY31E) = ₹53,817cr

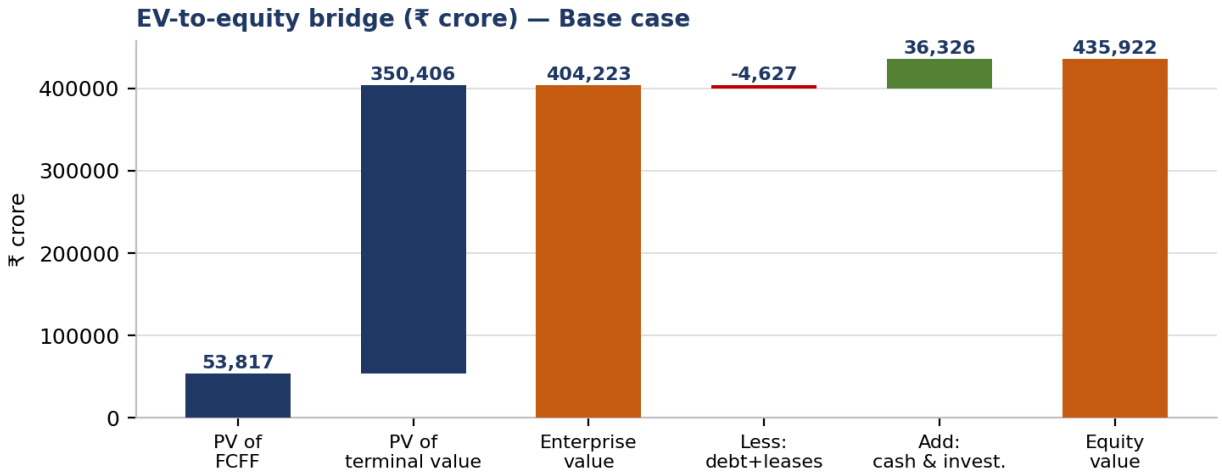
Terminal value

	₹ crore
Terminal value - exit multiple leg (FY31E EBITDA × 26.23x peer median)	645,156
Terminal value - Gordon growth leg (FY31E FCFF × 1.05 ÷ (8.88%–5%))	427,183
Terminal value (average of the two legs)	**536,170**
PV of terminal value	350,406

The exit-multiple leg is materially higher than the Gordon-growth leg - a direct consequence of the peer set's rich 26.23x median, itself pulled up by Divi's Labs (57x) and Laurus Labs (54x). A reader who considers those two names non-comparable to Sun Pharma's more generics-heavy earnings base should weight the Gordon leg more heavily; see the sensitivity table below for the effect of a lower exit multiple.

EV-to-equity bridge

	₹ crore
PV of FCFF, FY27E-FY31E	53,817
PV of terminal value	350,406
Enterprise value	**404,224**
Less: debt + lease liabilities (FY26)	(4,627)
Add: cash + bank + current & non-current investments (FY26)	36,326
Equity value	**435,922**
Shares outstanding (crore)	239.9
Value per share (Base case)	**₹1,817.10**



Sensitivity: WACC vs. exit EV/EBITDA multiple (terminal growth held at 5%)

WACC \ Exit multiple	16.0x	21.0x	26.23x (base)	31.0x	36.0x
7.88%	1,745	1,920	2,104	2,271	2,446
8.38%	1,591	1,763	1,942	2,106	2,277
8.88% (base)	**1,474**	**1,642**	**1,817**	**1,977**	**2,144**
9.38%	1,381	1,545	1,716	1,872	2,036
9.88%	1,304	1,464	1,632	1,785	1,945

Sensitivity: WACC vs. terminal growth rate (exit multiple held at 26.23x)

WACC \ Terminal growth	3.0%	4.0%	5.0% (base)	6.0%	7.0%
7.88%	1,758	1,886	2,104	2,552	4,020
8.38%	1,680	1,781	1,942	2,239	2,964
8.88% (base)	**1,612**	**1,693**	**1,817**	**2,026**	**2,459**
9.38%	1,551	1,618	1,716	1,871	2,157
9.88%	1,497	1,553	1,632	1,751	1,953

The 6-7% terminal-growth column shows the DCF's known sensitivity as terminal growth approaches WACC - the 7% column at 7.88% WACC (₹4,020) should be read as a mathematical artifact of a narrow WACC-minus-g spread, not a realistic valuation. This is the same caution that applies to any Gordon-growth terminal value where g is more than 1-2 points below WACC.

Reading the sensitivity

- At the base 26.23x exit multiple, WACC would need to rise to somewhere near 9.9% (from 8.88%) before the DCF value fell into Bear-case territory (~₹1,632) - a meaningful buffer, but not an enormous one given how much of the low WACC rests on a single, sector-wide low-beta observation.
- Using a more conservative exit multiple (16-21x, closer to the 'value peers' Cipla/Dr Reddy's/Zydus/Torrent rather than the specialty-premium names) at the base WACC would pull the DCF to ₹1,474-1,642 - below the current price, which is the scenario that would flip this call toward a SELL rather than a HOLD.
- Conversely, if the peer-median multiple is the right one to use (i.e., the market continues to reward Sun Pharma's own growing specialty mix at a similar multiple to Divi's/Laurus), the DCF's Base-case output of ₹1,817 is arguably too conservative, and the EV/EBITDA and Street cross-checks (₹1,996-2,067) are closer to fair value.

Rating logic

The Base-case DCF implies -1.8% versus the reference price, which sits inside the ±10% HOLD band (BUY >+20%, ACCUMULATE +10-20%, HOLD ±10%, SELL <-10%). We would move toward ACCUMULATE if (i) Q2-Q3 FY27 results show the EBITDA margin holding at or above 30% alongside double-digit growth, (ii) the Organon transaction closes cleanly and its accretive contribution becomes modellable, or (iii) the effective tax rate normalises back toward the 22-24% range rather than persisting near 27-28%. We would move toward SELL if US generics erosion broadens beyond Lenalidomide, or if the peer-median exit multiple used in the terminal value compresses toward the 'value peer' range (16-21x) without a corresponding re-rating of Sun Pharma's own specialty mix.

8 RISKS & WHAT TO WATCH

Risk	Why it matters	Indicator
US generics pricing & competition	Q1 FY27 US sales -9.7% YoY (Lenalidomide erosion + competition); this is the single largest identified drag on the consolidated growth story	Quarterly US segment revenue; Lenalidomide-specific commentary on earnings calls
Organon integration risk	EV ~US$11.75bn transaction expected to close Q4 FY27; integration costs, leverage and execution risk are real but unmodelled in this report's Base/Bull/Bear cases	Closing announcements; post-close guidance revisions; leverage metrics
Effective tax rate normalisation	27.8% in Q1 FY27 vs 24.3% PY, as India tax benefits run off; the model's flat 22% Base assumption may understate this	Quarterly ETR disclosure; management commentary on the sustainable range
Margin sustainability	Q1 FY27 EBITDA margin (28.9%) sits below the FY26 full-year level (30.0%) that the Base case holds flat through FY31E	Quarterly EBITDA margin trend vs. the 30% Base assumption
Regulatory & compliance (US FDA)	Sun Pharma's US generics pipeline has previously been affected by facility compliance issues (a recurring theme across Indian generics peers); AR flags ongoing regulatory risk in its SWOT	USFDA inspection outcomes; import alerts; ANDA approval cadence
Currency / tariff exposure	US and international revenue (66% of FY26 sales per the KPI mix) is exposed to INR/USD moves and to evolving US tariff policy on pharmaceutical imports	USD/INR; US Section 232-style tariff announcements affecting pharmaceuticals
Peer-multiple dependency in the DCF terminal value	The exit-multiple leg of the terminal value (26.23x, peer median) is materially higher than a 'value peer' multiple (16-21x) would imply - the single largest driver of upside risk to this report's own valuation range	See Section 7 sensitivity table

Source: Sun Pharma Q1 FY27 & Q4 FY26 Earnings Call Transcripts; AR FY25-26 (SWOT and risk disclosures); this report's DCF sensitivity analysis (Section 7).

Risks to our HOLD call

- Street consensus (Investing.com average ₹2,055, Buy-rated by 30 of 34 analysts) and a static EV/EBITDA cross-check (~₹2,067) both sit meaningfully above our DCF - if the market continues to award Sun Pharma's own growing specialty mix a multiple closer to the peer median, the HOLD call understates fair value.
- A cleaner-than-expected Organon close, with accretive synergies visible within the FY27E-FY28E window, is upside optionality this report's Base case deliberately excludes.
- Conversely, if US generics erosion broadens (beyond the currently-flagged Lenalidomide/competition drivers) or the effective tax rate settles permanently near 27-28% rather than the model's 22%, the Bear case (₹1,488) becomes the more realistic anchor.

A APPENDIX - PEER COMP DETAIL & BETA UNLEVERING

Beta unlevering → re-levering (full detail)

Company	Beta (5Y Mo)	D/E (x)	Tax rate assumed	Unlevered beta
Divi's Laboratories	0.25	0.00	25.17%	0.2500
Torrent Pharmaceuticals	0.14	1.79	25.17%	0.0598
Zydus Lifesciences	0.37	0.46	25.17%	0.2751
Cipla	0.08	0.02	25.17%	0.0788
Laurus Labs	0.36	0.48	25.17%	0.2647
Mankind Pharma	0.45	0.39	25.17%	0.3481
Dr Reddy's Laboratories	0.24	0.20	25.17%	0.2087
Median unlevered beta				**0.2500**

B APPENDIX - SOURCES, MODEL NOTES, RATINGS AND DISCLAIMER

Sources

Topic	Source (verify before relying on any figure)
Annual Report	Sun Pharma Annual Report FY25-26 (AR_Sunpharma.pdf) - Ten-Year Financial Highlights, Business-wise Review, Key Performance Indicators, Financial Ratios, Consolidated Financial Statements
Q1 FY27 results	Sun Pharma Q1 FY27 Earnings Call Transcript, 31-Jul-2026 (filed with NSE/BSE 6-Aug-2026)
Q4 FY26 results	Sun Pharma Q4 FY26 Earnings Call Transcript, 22-May-2026 (filed with NSE/BSE 29-May-2026)
Peer comparison data	screener.in, Healthcare > Pharmaceuticals & Biotechnology > Pharmaceuticals (user-supplied screenshot, pull date not independently verifiable)
Peer betas	Yahoo Finance, individual stock summary pages, Beta (5Y Monthly) field (user-supplied screenshots)
Risk-free rate	TradingEconomics, India 10-Year Government Bond Yield, ~7.1% as of 15-Sep-2026
Street targets - consensus	Investing.com (34 analysts, average ₹2,055, range ₹1,650-2,366, Buy consensus); TradingView forecast page (average ₹1,996.34, range ₹1,650-2,528)
Street targets - individual broker actions	marketscreener.com news/broker-research log: Nomura (Buy, ₹1,960), Jefferies (Buy, ₹2,000), Avendus Spark (Buy, ₹1,900)
Price & 52-week range	screener.in peer comparison (reference price ₹1,849.90); Investing.com (52-week range ₹1,548-1,962.70); INDmoney (implied 52-week range ₹1,548-2,046.8, derived from a 21-Sep-2026 quote of ₹1,874.90 and stated %-off-high/low)
Report structure & methodology	Adapted from a Castrol India Ltd sample equity research report format supplied by the user, including its DCF construction, sensitivity-table layout, and disclosure conventions

Things we could not independently verify

- Exact pull date/time of the screener.in peer-comparison screenshot, and therefore the exact as-of date for the ₹1,849.90 reference price used throughout this report and the underlying workbook.
- Exact dates of the Nomura, Jefferies and Avendus Spark broker actions cited from marketscreener.com - the source snippet showed relative date labels (e.g. 'Nov. 07') without an unambiguous year for the most recent entries.
- The 52-week trading range: sources disagree (Investing.com ₹1,548-1,962.70 vs an INDmoney-implied ₹1,548-2,046.8) and have not been reconciled.
- Sun Pharma's ISIN was not independently confirmed in any source consulted for this report and has been omitted rather than stated from memory.
- The screener.in table's own row for Sun Pharma (Sales ₹20,900.89cr, NP ₹2,993.50cr) - flagged throughout this report as inconsistent with audited AR figures and excluded from all calculations.

Model notes: key methodology choices

Choice	What we did	Why
Organon acquisition	Excluded from all three (Bear/Base/Bull) scenarios	Transaction has not closed as of this report; standard sell-side practice for unclosed deals
Sun Pharma's own screener.in row	Excluded; AR figures used instead for all of Sun Pharma's own financials	Screener figures for Sun Pharma were internally inconsistent with its own market cap and EPS (see Section 4 flag); the 6 peer rows were separately verified against Yahoo Finance and used as-is
Terminal value	Average of an exit-EV/EBITDA-multiple leg and a Gordon-growth leg	Same convention as the Castrol sample report; blending the two legs avoids over-reliance on either the peer-multiple assumption or the perpetuity-growth assumption alone
Divi's Labs beta	User re-pulled on a 5Y Monthly basis after the first screenshot showed a 1-Year basis	The original 1Y beta (0.83) was on a different window than the other 6 peers (5Y Monthly) and would have distorted the peer median if mixed in as-is
Forecast 'PAT' line	Labelled explicitly as an unlevered NOPAT proxy, not a true EPS forecast	The model does not forecast net interest income/expense, minority interest or exceptional items line-by-line; presenting NOPAT as if it were EPS would overstate the model's precision

Rating definitions (12-month expected price return)

Rating	Expected return	This report
BUY	more than +20%	
ACCUMULATE	+10% to +20%	
HOLD	-10% to +10%	**Assigned (−1.8% price return on the Base-case DCF)**
SELL	less than -10%	

Disclosures and disclaimer

This report was prepared with the assistance of **Artificial Intelligence (AI)**.

AI tools were used to support information gathering, source-based analysis, financial calculations, financial modelling support, interpretation of company disclosures, comparison of peer data, and drafting and formatting of the report. The underlying financial model, company documents and publicly available sources identified above were used as the basis of the analysis.

Reasonable efforts were made to review and verify the information; however, AI-generated content may contain errors, omissions or inconsistencies.

The forecasts, assumptions and valuation presented in this report are estimates and should be independently reviewed before being relied upon.